Solution

Rectifying entries

	Particulars		L.F.	Dr. ₹	Cr. ₹
a	Suspense A/c	Dr.		18	
	To Mekala A/c				18
	(Excess amount posted to Mekala account rectified)				
b	Discount allowed A/c	Dr.		100	
	Discount received A/c	Dr.		100	
	To Suspense A/c				200
	(Discount allowed wrongly posted to discount received account rectified)				
c	Kannan A/c	Dr.		275	
	To Mannan A/c				275
	(Wrong credit to Kannan account instead of Mannan account rectified)				
d	Stationery A/c	Dr.		26	
	To Suspense A/c				26
	(Purchase of stationery not posted to stationery account rectified)				
e	Purchases A/c	Dr.		100	
	To Suspense A/c				100
	(Undercasting in the purchases book rectified)				

Dr. **Suspense Account** **Cr.**

Particulars	₹	Particulars	₹
To Balance b/d	308	By Discount allowed A/c	100
To Mekala A/c	18	By Discount received A/c	100
		By Stationery A/c	26
		By Purchases A/c	100
	326		**326**

(iv) Location and rectification of errors after preparing the final accounts

Sometimes, though there is disagreement of trial balance, due to lack of time and urgency in the completion of final accounts, the accountant may not locate and rectify the errors. Under such circumstances, the difference in trial balance is placed to the suspense account, which may show either debit balance or credit balance. If it shows a debit balance, it is shown on the assets side. If it shows a credit balance, it is shown on the liabilities side. The errors will be located and rectified by the accountant during the next accounting period. If the error to be rectified is in a nominal account, it affects the profit or loss of the business. Hence, instead of debiting or crediting them for rectification, profit and loss adjustment account is debited or credited. If the error to be rectified is in a real account or personal account, the respective real

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